Startup Advisory — 90-Day Course Index

Today: Day 1 of 90 (marked ▶) · [e₹] = full Digital Rupee lesson; every lesson also ends with a short Digital Rupee box

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Startup Advisory — Day 1: Services Map Beyond Audit and Tax

1. Today in one line

Expand your CA practice from statutory reporting into startup lifecycle advisory: positioning yourself as a strategic virtual CFO from day zero.

2. The concept

The conventional CA practice model is built on statutory compliance: post-facto book-keeping, statutory audits under the Companies Act, 2013, GST filing, and tax audit reports. For a traditional trading business, this suffices. For an early-stage startup, it is wholly inadequate.

Startups operate in an ecosystem governed by milestone-based funding, equity dilution, non-linear growth, and heavy regulatory scrutiny across corporate law, foreign exchange regulations, and direct taxation. Founders often possess strong product or engineering capabilities but lack structural financial hygiene. They commit structural errors in the first six months—such as granting arbitrary equity splits, neglecting intellectual property assignment, failing to claim government recognition, or mishandling early convertible loans—that jeopardize subsequent funding rounds.

Where does a CA fit beyond audit and tax? 1. **Corporate Architecture:** Advising on capital structure, drafting clean founder equity terms, and securing recognition under the Department for Promotion of Industry and Internal Trade (DPIIT). In Tamil Nadu, connecting the venture with StartupTN hubs and regional grants (such as TANSEED). 2. **Cap Table Management:** Maintaining non-dilutive vs. dilutive shareholding models, managing convertible instruments (Compulsorily Convertible Preference Shares or CCPS, Convertible Notes), and framing Employee Stock Option Plans (ESOPs). 3. **Transaction Readiness:** Preparing institutional-grade data rooms, handling Foreign Exchange Management Act (FEMA) filings for cross-border investments, and coordinating registered valuer reports. 4. **Virtual CFO (vCFO) Functions:** Unit economics analysis, burn rate and runway monitoring, forward cash flow projections, and monthly Investor Information Memorandums.

By shifting your service proposition from retrospective compliance to forward-looking structuring, you transition from a commodity vendor to an indispensable board-level advisor.

3. Practical CA angle

- **The Service:** Startup Setup, DPIIT Structuring, and Virtual CFO Retainership.
- **Typical Deliverables:**
- DPIIT Startup Recognition application and documentation.
- Formulating capitalization tables (Cap Tables) with scenario modeling for future dilution.
- Monthly MIS package (Runway, Burn Rate, Customer Acquisition Cost, Lifetime Value, Gross Margin).
- Investor Due Diligence Readiness File (Charter documents, board resolutions, statutory registers, tax filings catalogued in a virtual data room).
- **Indicative Fee Ranges in India (Clearly indicative; varies based on complexity and location):**
- *DPIIT Filing & Initial Corporate Setup Advisory:* Rs. 15,000 to Rs. 40,000 (one-time).
- *Early-Stage vCFO Monthly Retainer (Seed to Pre-Series A):* Rs. 25,000 to Rs. 60,000 per month.
- *Due Diligence Review & Data Room Preparation for Funding Round:* Rs. 50,000 to Rs. 1,50,000 (one-time engagement).

4. Worked example or checklist

Startup Stage	Primary Founder Pain Point	CA Advisory Deliverable	Key Compliance Trigger
Stage 0: Incorporation	Unclear equity split, wrong entity type	Founder Agreement, IP Assignment, Cap Table v1	SPICe+ filing, MCA Name approval
Stage 1: Recognition & Grants	Lack of non-dilutive capital, tax friction	DPIIT Application, StartupTN grant paperwork	Startup India Portal, Section 80-IAC application
Stage 2: Angel / Seed Round	Instrument selection, valuation checks	Term Sheet review, Valuation coordination, Cap table update	Section 68 proof of creditworthiness, Form FC-GPR (if foreign)
Stage 3: Growth & Talent	Key employee retention, high burn	ESOP scheme structuring, Monthly vCFO reporting	Board & Shareholder approval, MCA Form MGT-14

5. Watch-outs

- **The Angel Tax Trap Misconception:** While the infamous "Angel Tax" under Section 56(2)(viib) of the Income-tax Act, 1961 was abolished with effect from Assessment Year 2025-26, do not assume share issuance is free of tax scrutiny. Assessing Officers regularly invoke Section 68 (unexplained cash credits) to question the identity, creditworthiness, and genuineness of angel investors. Maintain complete source-of-funds files.
- **Overlooking DPIIT Benefits:** Setting up a Private Limited company without immediately securing DPIIT recognition deprives the startup of Section 80-IAC deduction possibilities, easier winding-up routes, self-certification under labor and environmental laws, and eligibility for the Startup India Seed Fund Scheme (SISFS).
- **Improper Foreign Funding Pathways:** Issuing equity to an overseas friend or NRI without complying with RBI's FIRMS portal reporting (Form FC-GPR) within 30 days of allotment triggers compounding proceedings under FEMA.

6. Today's client-getting action

Log in to LinkedIn. Review your headline and profile summary. Update your headline to clearly and factually state your focus without violating ICAI advertising norms: * *Permissible Example:* "Chartered Accountant | Virtual CFO & Venture Compliance Advisory | Chennai" * *ICAI Rule Reminder:* Under the Chartered Accountants Act, 1949 (First Schedule, Part I, Clauses 6 and 7), you cannot solicit clients, claim superiority (e.g., "Best Startup CA in Tamil Nadu"), or advertise fees. Factual statements of your focus areas and professional competencies on your profile or professional website are permitted.

7. Quick quiz

1. Which entity type is mandatory for a startup to be eligible for income tax exemptions under Section 80-IAC and institutional venture capital funding?
2. True or False: The abolition of angel tax under Section 56(2)(viib) means assessing officers can no longer question the premium at which shares are issued to resident investors.
3. What is the statutory time limit for reporting foreign direct investment allotment via Form FC-GPR on the RBI FIRMS portal?

Answers: 1. Private Limited Company (LLPs and Partnership firms are eligible for DPIIT recognition, but institutional VCs require a Private Limited company, and Section 80-IAC specifically requires an incorporated company or LLP, with venture capital almost exclusively backing companies). 2. False. The tax department can still inspect the genuineness and source of funds under Section 68 (Unexplained Cash Credits). 3. Within 30 days from the date of allotment of the capital instruments.

8. Digital Rupee today

According to recent Reserve Bank of India reports and pilot updates up to late 2024 and 2025, the RBI has been expanding retail Central Bank Digital Currency (e₹-R) use cases, focusing on offline transaction capabilities and programmability in partnership with commercial banks. (Specific pilot data for the past 30 days: no official new operational circulars were published by the RBI; check official RBI press releases for latest transaction volume updates).

A Central Bank Digital Currency (CBDC) is legal tender issued by a central bank in digital form. Unlike commercial bank money—which represents a liability of that specific commercial bank—the Digital Rupee is a sovereign liability of the RBI appearing directly on its balance sheet. The RBI introduced e₹ to lower the operational cost of physical cash management, bolster payment resilience, reduce reliance on private digital currencies, and enable programmable, friction-free settlements.

For a startup advisor, understanding e₹ programmability is essential: it allows startups to implement purpose-bound payments (e.g., verifiable grant disbursements or targeted corporate allowances) without third-party escrow overheads.

9. Sources

- Department for Promotion of Industry and Internal Trade (DPIIT): https://www.startupindia.gov.in
- Reserve Bank of India (FEMA & CBDC Information): https://www.rbi.org.in
- StartupTN Portal: https://startuptn.in
- Institute of Chartered Accountants of India (Code of Ethics): https://www.icai.org